

**SUBSTITUTE FOR
HOUSE BILL NO. 4816**

A bill to amend 1967 PA 281, entitled
"Income tax act of 1967,"
(MCL 206.1 to 206.847) by adding section 283.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 283. (1) For tax years beginning on and after January 1,**
2 **2026, subject to the limitations under this section, a taxpayer**
3 **that makes a qualified investment in a qualified business may claim**
4 **a credit against the tax imposed by this part equal to 50% of the**
5 **qualified investment made during the tax year. A taxpayer shall not**
6 **claim a credit of more than \$3,000.00 based on a qualified**
7 **investment in any 1 qualified business and shall not claim a credit**
8 **of more than \$3,000.00 for qualified investments in all qualified**
9 **businesses in any 1 tax year.**



1 (2) To qualify for the credit under this section, a taxpayer
2 shall request and receive certification of the investment from an
3 independent certified public accountant. The taxpayer shall attach
4 the certification from the independent certified public accountant
5 to the annual return filed under this part on which a credit under
6 this section is claimed. The certificate required under this
7 subsection must specify all of the following:

8 (a) The total amount of investments made during the tax year
9 by the taxpayer in each qualified business.

10 (b) The total amount of qualified investments made in each
11 qualified business if different from the previous amount.

12 (c) The total amount of the credit under this section that the
13 taxpayer is allowed to claim for the designated tax year.

14 (3) If the amount of the credit allowed under this section
15 exceeds the tax liability of the taxpayer for the tax year, that
16 portion of the credit that exceeds the tax liability of the
17 taxpayer for the tax year must not be refunded but may be carried
18 forward to offset tax liability under this part in subsequent tax
19 years for a period not to exceed 10 tax years or until used up,
20 whichever occurs first.

21 (4) The total amount of credits allowed to be claimed under
22 this section each calendar year must not exceed \$10,000,000.00. If
23 the aggregate amount of claims for qualified investments made in a
24 single calendar year exceeds \$10,000,000.00, the department shall
25 prorate the amount of credits so that each taxpayer's allowed
26 credit equals that taxpayer's pro rata share of the \$10,000,000.00.

27 (5) As used in this section:

28 (a) "Certified public accountant" means that term as defined
29 under section 720 of the occupational code, 1980 PA 299, MCL



1 339.720.

2 (b) "Family member" means an individual who is the spouse,
3 mother, father, brother, sister, child, stepparent, stepchild,
4 stepbrother, stepsister, grandparent, grandchild, legal ward, or a
5 legally appointed guardian with a certified letter of guardianship,
6 of the investor.

7 (c) "Qualified business" means a business that satisfies all
8 of the following at the time of the investment:

9 (i) The business has its headquarters in this state, is
10 domiciled in this state, and has a majority of its employees
11 working in this state, and its transactions are limited to
12 residents of this state under section 77c(a)(11) of the securities
13 act of 1933, 15 USC 77c.

14 (ii) The business receives at least 80% of its gross revenues
15 from the operation of its business in this state.

16 (iii) The business has at least 80% of its assets in this state.

17 (d) "Qualified investment" means a cash or a cash equivalent
18 investment in a qualified business that satisfies all of the
19 following:

20 (i) Is not in a qualified business in which a family member of
21 the investor is an employee or owner of the business or in which
22 the investor or a family member of the investor has a preexisting
23 fiduciary relationship with the business.

24 (ii) Is subject to the uniform securities act (2002), 2008 PA
25 551, MCL 451.2101 to 451.2703, and is made in compliance with
26 applicable state and federal securities laws, rules, and
27 regulations.

28 Enacting section 1. It is the intent of the legislature to
29 annually appropriate sufficient funds from the state general fund



1 to the state school aid fund created in section 11 of article IX of
2 the state constitution of 1963 to fully compensate for any loss of
3 revenue resulting from the enactment of this amendatory act.